

BTCY Audit Summary

Prepared by Cyfrin

Version 2.0

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1 About Cyfrin

Cyfrin is a Web3 security company dedicated to bringing industry-leading protection and education to our partners and their projects. Our goal is to create a safe, reliable, and transparent environment for everyone in Web3 and DeFi. Learn more about us at cyfrin.io.

2 About This Document

This document is a public summary of the security audit Cyfrin performed for Aarc on BTCY. It records the repositories and commits reviewed, the timeline, auditors, in-scope files, and the number and final status of findings by severity. It closes with Cyfrin's attestation of the review's scope and final remediation status.

It is deliberately abbreviated: the technical detail of individual findings is not reproduced here. The complete audit report, version 2.0 dated February 20, 2026, was delivered to Aarc, who retain it as the full record of the engagement. This summary was issued on October 29, 2026.

3 Disclaimer

The Cyfrin team makes every effort to find as many vulnerabilities in the code as possible in the given time but holds no responsibility for the findings in this document. A security audit by the team does not endorse the underlying business or product. The audit was time-boxed and the review of the code was solely on the security aspects of the in-scope code being audited. Unless the scope explicitly notes otherwise, the review is limited to the application layer and does not extend to the correctness of API/SDK/execution environment implementations, compilers, standard and third-party libraries, underlying operating systems and hardware.

4 Copyright and License

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5 Audit Overview

Over the course of 6 days, the Cyfrin team conducted an audit on the BTCY code provided by Aarc. The findings consist of 1 Medium & 12 Low severity issues with the remainder being informational and gas optimizations.

Summary

Project Name	BTCY
Repository	btcy-contracts-main
Commit	d95495e418c3...
Fix Commit	5040483a51a1...
Audit Timeline	Feb 9th - Feb 16th, 2026
Methods	Manual Review, Formal Verification

Issues Found

Severity	Found	Resolved	Acknowledged
Critical Risk	0	0	0
High Risk	0	0	0
Medium Risk	1	1	0
Low Risk	12	11	1
Informational	21	17	4
Gas Optimizations	12	12	0
Total	46	41	5

6 Audit Scope

The audit scope was limited to:

```
src/base/AllowList.sol
src/BTCY.sol
src/DepositWithdraw.sol
src/IBTCY.sol
src/IBTCYHub.sol
src/Pricer.sol
```

The client made some additional changes during the audit, including to the deployment scripts, which were also reviewed.

After the audit, changes in PR20 were also examined.

7 Risk Classification

	Impact: High	**Impact: Medium**	**Impact: Low**
Likelihood: High	Critical	High	Medium
Likelihood: Medium	High	Medium	Low
Likelihood: Low	Medium	Low	Low

8 Protocol Summary

BTCY is an institutional two-token framework for Bitcoin yield, featuring ERC20/ERC4626 compliance. The protocol consists of five core contracts:

- **IBTCY:** ERC-20 token with allowlist enforcement.
- **BTCY:** ERC-4626 vault wrapper around iBTCY with withdrawal fees, a transfer deny list and minimum deposit/withdraw amounts.
- **IBTCYHub:** subscription and redemption hub managing the lifecycle of deposit and redemption requests, with price-based processing.
- **Pricer:** price oracle contract that stores price entries.
- **DepositWithdraw:** treasury deposit/withdraw contract with token and user whitelisting.

9 Attestation

Cyfrin attests that it performed a security review of the BTCY code provided by Aarc.

The repositories, commits, review period and findings with their final status are in the Summary and Issues Found tables in Section 5, and the in-scope files in Section 6. This attestation is limited to the documented scope, audited commits and mitigations specifically reviewed by Cyfrin.

Cyfrin publishes this document and its SHA-256 hash at https://github.com/Cyfrin/cyfrin-audit-reports. To check a copy on macOS or Linux, run the following in the folder that contains it; it prints `OK` when the copy matches. If the copy was renamed, set F to its file name. Before running it, check that the URL is Cyfrin's repository.

```
U=https://github.com/Cyfrin/cyfrin-audit-reports/raw/main/reports/sha256
N=2026-02-20-cyfrin-aarc-btcy-v2.0.pdf
F=$N
H=$(curl -fsSL $U/$N.sha256 | cut -d' ' -f1)
echo "$H *$F" | shasum -a 256 -c
```

Cyfrin's full audit report with all findings provided to Aarc has the SHA-256 hash and file name below. To check a copy of it, first check this document as above, then run the following in the folder that contains the full report; it prints `OK` when the copy matches. If the copy was renamed, set F to its file name.

```
H=8a9e9aceb212242cf26a014bdc4bc59878227ed10abb4e0227ef70a29cfb55c1
F=2026-02-20-cyfrin-aarc-btcy-v2.0-full.pdf
echo "$H *$F" | shasum -a 256 -c
```

On Linux, `sha256sum -c` can be used in place of `shasum -a 256 -c`. On Windows, run `Get-FileHash <file> -Algorithm SHA256` in PowerShell and compare the result with the hash.